

“When the last shareholder dies”—Tonti winds it up—“the capital of the pool reverts to the state.” The king, with a wolfish grin, rubs his hands together greedily. Tonti’s plan would serve his purpose. Yet upon reflection, even the dense king could see that the big winners of this scheme would be the long-lived holders of the shares. They would earn an increasing share of the dividends as others died off and would grow rich.

He did not pursue Tonti’s idea, but others would.

I think Lorenzo de Tonti would be amused to see the modern twist on his idea. (There is some skepticism that Tonti actually invented the idea. Some evidence suggests it was an older Italian scheme that Tonti simply took to the effete French court.)

Today, Tonti would be an activist getting in front of CEOs, not kings, speaking of the wonders of retiring shares. And more than a few 100-baggers greedily bought back their own shares when the market let them do so cheaply.

Stock Buybacks: Modern Tontines

Stock buybacks deserve a separate chapter in a book on 100-baggers because they can act as an accelerant when done properly.

A buyback is when a company buys back its own stock. As a company buys back shares, its future earnings, dividends and assets concentrate in the hands of an ever-shrinking shareholder base.

Many companies are doing buybacks these days. In a slow- to no-growth economy, this tactic is becoming a more important driver of earnings-per-share growth.

But you have to actually shrink the number of shares outstanding.

Since 1998, the 500 largest US companies have bought back about one-quarter of their shares in dollar value, yet the actual shares outstanding grew. This is because they hand out the shares in lavish incentive packages to greedy executives.

But don’t let the bad examples take away from the wisdom of the concept. There are some companies that exemplify the very best of the practice.

One example is AutoNation — a classic I mentioned before. Eddie Lampert took a stake in 2000. Lampert, a great investor, knows how